

Essential Insights: Week 9.2



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Personalisation as a Strategic Capability

Evolution: From broad demographic segmentation to real-time, individualised experiences powered by AI

Key Elements: Behavioural, contextual, and transactional data analysis

Benefits: Higher engagement, redemption rates, conversion, basket size, and customer lifetime value

Examples:

Starbucks: Personalised offers via loyalty programme

Myntra: Tailored product discovery and recommendations

Strategic Impact: Drives revenue growth and competitive differentiation

Platform Business Models with AI

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Servitisation and Outcome-Based Models

Shift: From selling products to delivering services and measurable outcomes

Advantages: Stronger customer alignment, predictable costs, reduced risk for customers

Examples:

Rolls-Royce “Power by the Hour”: Charges for engine usage with performance guarantees

John Deere: AI + IoT for productivity insights

Schneider Electric: AI-optimised energy efficiency

AI Enabler: Continuous monitoring, predictive analytics, proactive interventions

Competitive Advantage in the AI Era

New Drivers: Data Moats: Unique, hard-to-replicate data (e.g., Tesla's real-world driving data)

Speed of Learning: Rapid model improvement from feedback (e.g., Flipkart)

Ecosystem Control: Integrated platforms across stakeholders (e.g., Apple)

Outcome: Self-reinforcing cycle of adaptation, innovation, and sustained leadership

Transformation Roadmap Design

Strategic Choice: Phased approach (recommended) vs. big-bang

Phased Benefits: Lower risk, quick wins, capability building, iterative learning

Prioritisation Criteria: Business impact, feasibility, data readiness

Example: Siemens — piloted AI in specific operations before enterprise-wide scaling

Best Practice: Align with strategic objectives and sequence for momentum

Change Management in AI Transformation

People Focus: Address resistance, build skills, communicate vision

Key Actions:

Reskilling and role transition (e.g., Bosch)

Training for data literacy and AI fluency (e.g., Microsoft, AT&T)

Transparent leadership communication (e.g., DBS Bank)

Goal: Create trust, reduce uncertainty, and enable adoption

The Gartner Hype Cycle for AI

Stages: Innovation Trigger → Peak of Inflated Expectations → Trough of Disillusionment → Slope of Enlightenment → Plateau of Productivity

Generative AI Example: Early hype followed by practical, high-value applications

Lessons:

Avoid over-investment in hype

Focus on targeted, impactful use cases (e.g., SBI's fraud detection and customer assistance)

Build sustainable capabilities for long-term productivity (e.g., Delhivery)

Measuring ROI of AI & Digital Transformation

Balanced View: Beyond cost savings to strategic value

Dimensions:

Efficiency: Automation and optimisation (e.g., Wipro)

Revenue Growth: Personalisation and engagement (e.g., Bharti Airtel)

Risk Reduction: Fraud detection and compliance (e.g., ICICI Bank)

Long-term: Customer lifetime value, retention, innovation speed, resilience

Principle: Measure both immediate and compounding benefits

Digital Maturity Models & The Future-Ready Enterprise

Maturity Assessment: Evaluate technology, data, CX, culture; benchmark vs. peers (e.g., HDFC Bank, L&T)

Future-Ready Characteristics:

Continuous transformation mindset

Embedded AI across functions (e.g., Tata Motors, Reliance Retail)

Culture of experimentation (e.g., Razorpay)

Sustained investment in data, platforms, talent, and governance

Outcome: Agility and resilience in dynamic markets